

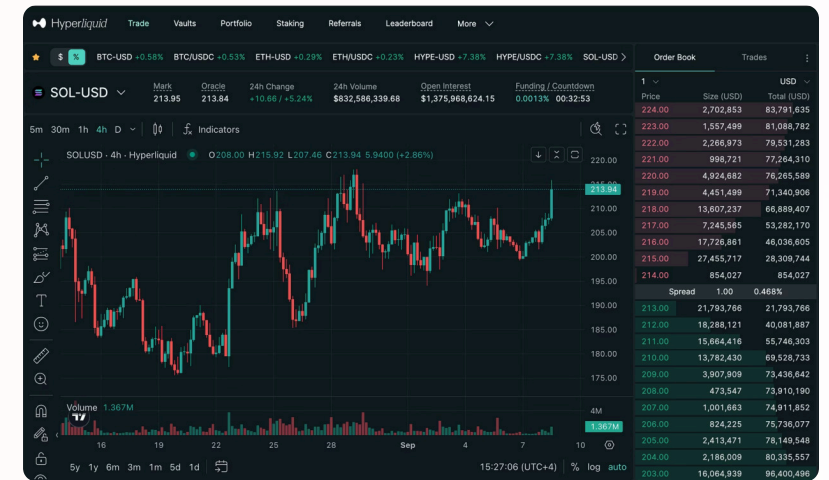
Understanding Perpetual DEXs: The Decentralised Trading Revolution

A comprehensive look at how perpetual decentralised exchanges work, their yield mechanisms, and what they offer to both traders and liquidity providers in the evolving DeFi landscape.



What Are Perpetual DEXs?

- Perpetual futures are derivative contracts with **no expiration date**, allowing positions to be held indefinitely
- Traders can use substantial **leverage** (e.g., 10x long or short ETH/USDC) to amplify returns
- Traditional CeFi exchanges like Binance and Bybit rely on centralised market makers for liquidity
- In the DeFi ecosystem, protocols like GMX, Hyperliquid and Jupiter democratise market making—**anyone can provide liquidity**
- Perpetual DEX let you have custody of your assets, as you trade from your wallet



How Yield Is Generated



Fee Collection

Traders pay fees for opening/closing positions and funding rates (paid periodically between longs and shorts)



LP Counterparty Role

Liquidity providers (LPs) collectively act as the counterparty to all trader positions



PnL Distribution

If traders lose → LPs gain (collecting liquidations + net PnL)
If traders win → LPs cover their profits (absorbing losses)

Many protocols also distribute native tokens as additional rewards to LPs, boosting effective yields during incentive periods.

A Practical Example

Initial LP Deposit

You provide £10,000 USDT as liquidity on GMX, joining the collective counterparty pool

Trader Activity

A trader opens a 10x long ETH position and ultimately loses £100 in PnL

Fee Generation

Goes to liquidity pool:

- Opening fee (~£3)
- Closing fee (~£3)
- Funding rate payments
- The trader's £100 loss

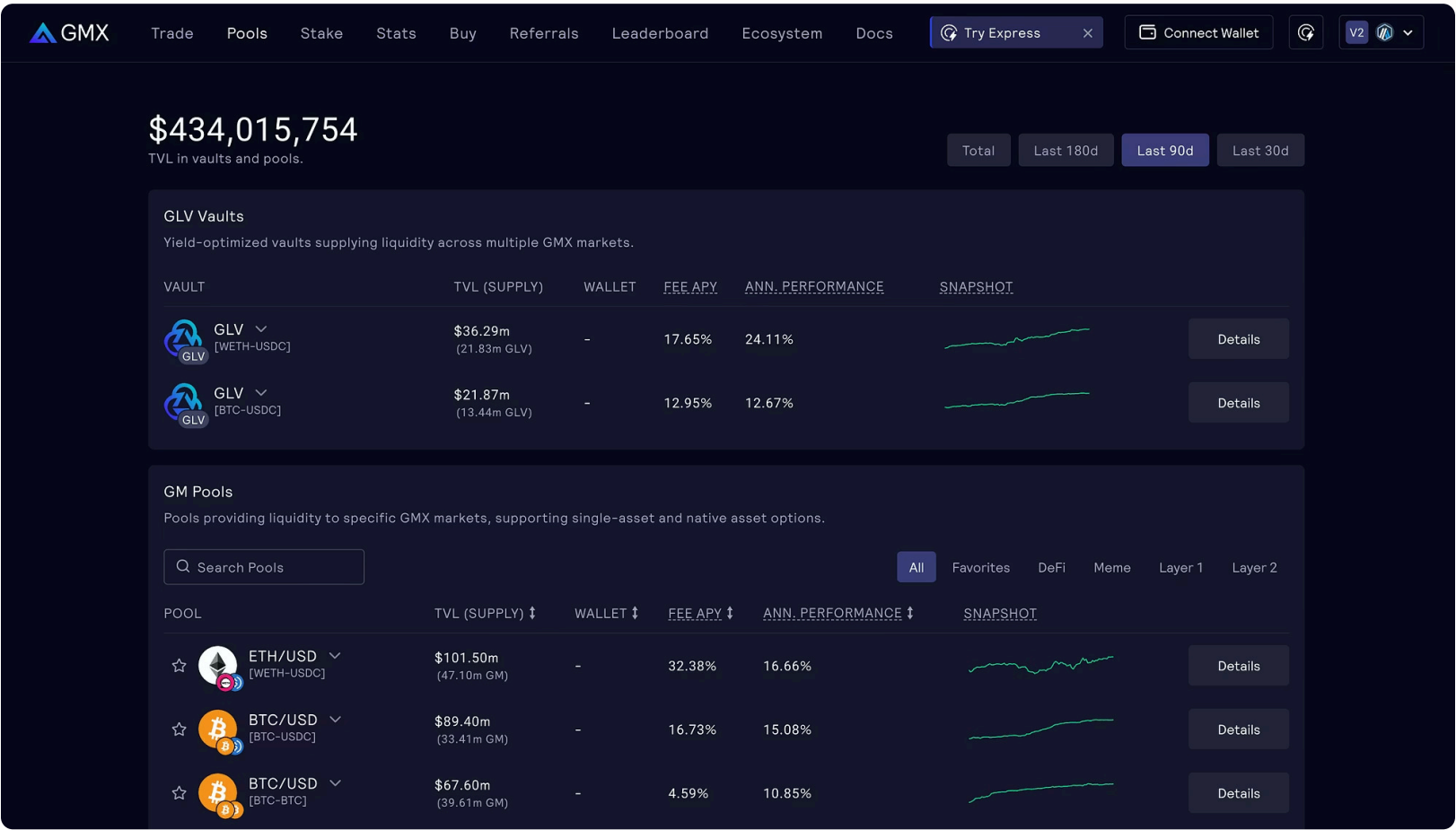
If ETH Drops

Trader may be liquidated → their collateral is distributed to LPs (you earn)

If ETH Rises

Trader may profit → their gains come from the LP pool (you lose a portion)

Key insight: You always earn trading fees regardless of market direction or trader outcomes.



Here you can see the different pools on the GMX platform. Each pool requires two assets—USDC paired with either BTC or ETH—giving you exposure to blue-chip assets while providing liquidity to traders and earning fees. The current average APR is around 20% for ETH pools and 14% for BTC pools.

Video - of how to deposit and start earning in GMX Vaults - (<https://youtu.be/u8zcZiMg4dM>)

Yield Opportunities & Risks

Potential Yields

8-20%

Typical APR

Varies based on trading volume, funding rates, and trader performance

Video

30%

Volatility Spikes

During high market volatility, yields can temporarily surge

10-15%

Token Incentives

Additional protocol token rewards boost effective yield

LP Risks

Trader Performance Risk

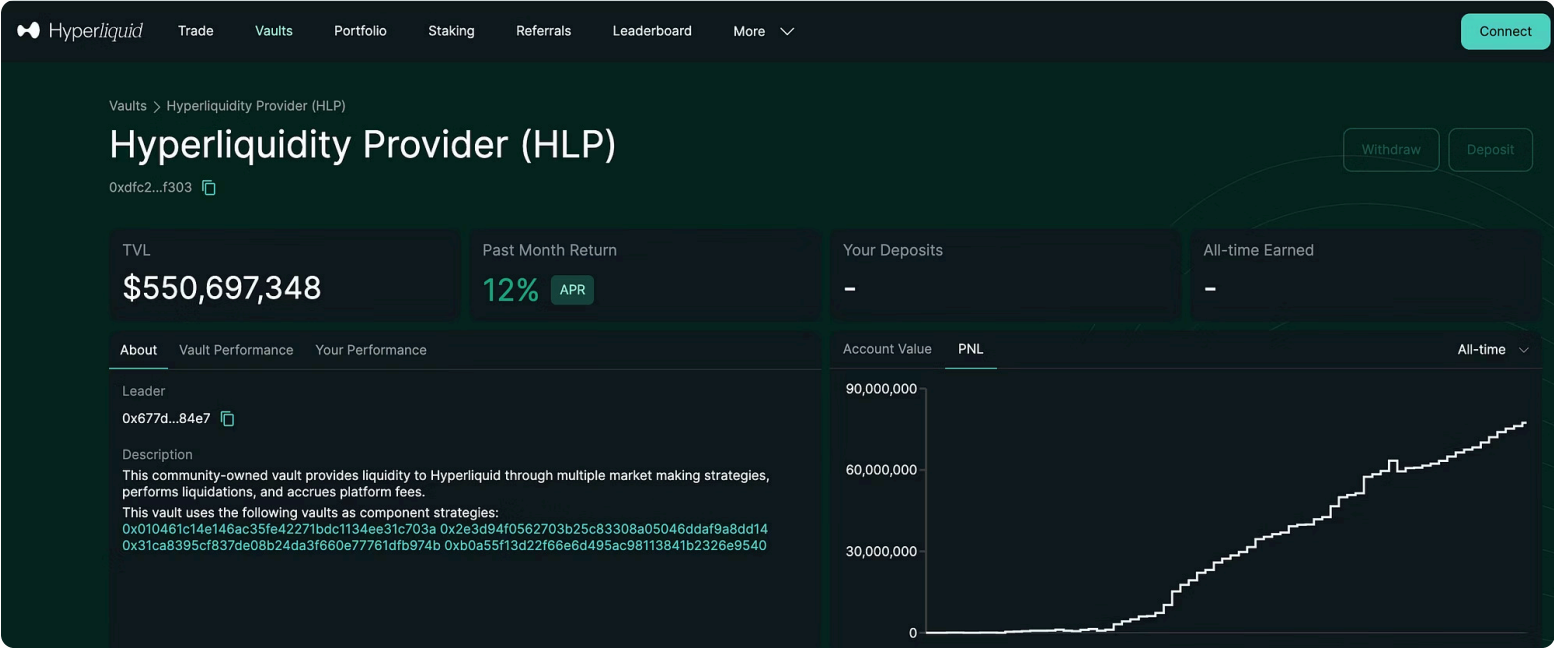
If majority of traders are profitable, the LP pool gradually shrinks

Market Volatility Risk

Sudden market moves can cause significant LP drawdowns

Technical Risks

Smart contract exploits and liquidity withdrawal delays/slippage



This is an example of a Hyperliquid Vault, showing total TVL of 550 mil. \$, APR of 12% and steady growth in value—driven by the fact that about 80% of traders lose their deposits. The vault offers a mean APR of 16% and operates solely in USDC, eliminating price volatility risk.

Video - of how to deposit and start earning in Hyperliquid Vaults - (<https://youtu.be/fbtsULD2Bz0>)

Leading Perpetual DEX Protocols



GMX

One of the largest perps DEXs, operating on Arbitrum and Avalanche, providing substantial real yield to GLP providers. TVL of 550 mil. \$



Hyperliquid

Advanced perpetual DEX with innovative features, rapidly gaining traction among sophisticated traders. Has the TVL of 700 mil. \$



Jupiter

Solana's leading aggregator expanding into perpetual futures, leveraging the chain's speed and low fees. TVL of 3 bil. \$